Indian households got outstanding returns in the first decade of the twenty-first century from savings invested in both financial instruments and real estate. Inflation was low and returns on bank deposits typically exceeded inflation (wholesale inflation index was the benchmark). As stock markets were booming after 2003, fuelled by global investment flows and excellent returns for corporates, households also made investments in shares and quasi-share instruments, such as MFs, unit-linked insurance plans (ULIPs) and insurance products. House property prices rose over 200 per cent in the first decade in many markets. The frenzy drove massive household investments in real estate, for both occupational and speculative purposes.

The housing bubble burst in the second decade. Speculative purchases petered out, leaving large unsold inventories in most cities. New launches are few and far between. The fall in savings of Indian households in the second decade of the twenty-first century is almost entirely explained by this. A massive reduction of over 5 per cent in the overall household savings rate is explained by the collapse of their investment in real estate.

A rebound in the domestic savings rate will come from restructuring the residential real-estate market.

Wealth

Contrasting Fortunes of Indians: The Super-Rich and Stunted Children

On 26 December 2020, a headline in *Business Standard* shrieked: ‘Super-Rich Club Sees 10 entrants; Wealth Up 33 per cent’. In the year of COVID-19 and the lockdown when the economy was projected to witness the largest ever contraction of national income by about 7–10 per cent, the super-rich club of India grew to an all-time high membership of ninety billionaires, adding ten new billionaires in the year; their combined wealth